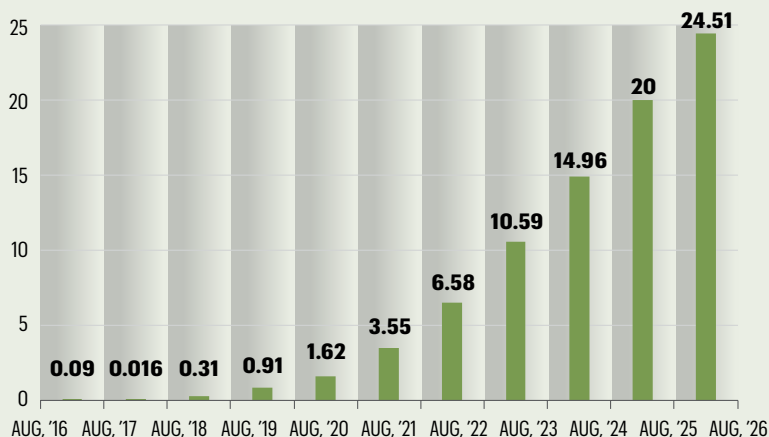
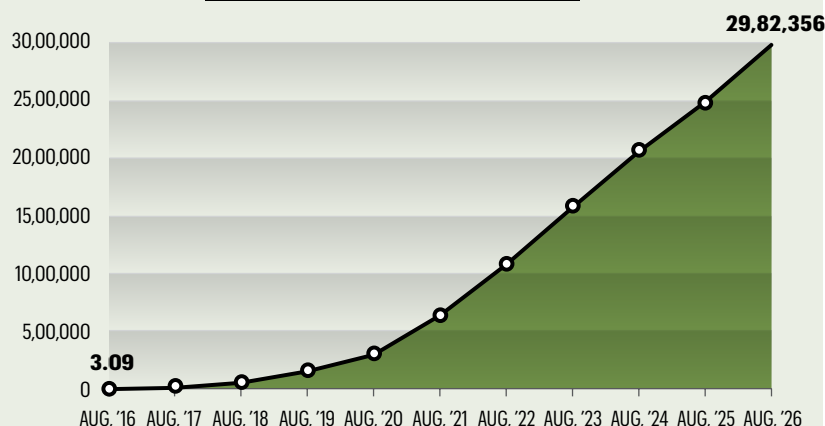


# UPI ADOPTION

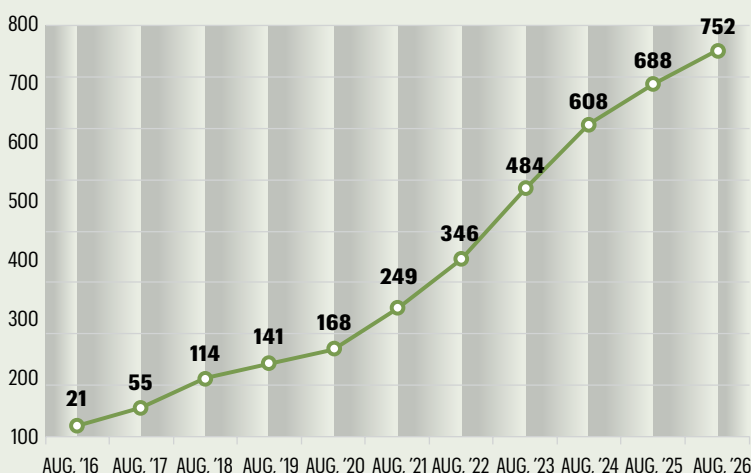
TRANSACTION VOLUME (IN BILLION)



TRANSACTION VALUE (IN ₹ CRORE)



ONBOARDING BY INSTITUTIONS



SOURCE NPCI

“The tax that the government is now earning is much higher than the cost of UPI. So, an in-depth study is required before deciding the MDR bar. Otherwise, it will slow the adoption of UPI,” Jhamb tells *Business Today*.

Cross-country studies show that digital payments have transformed payments in many developing countries and broadened financial access, but even a small tax on such payments can have a big effect on its adoption.

In a paper, *Taxing Mobile Money: Theory and Evidence*, IMF Economists Michael Barczay, Shafik Hebous, Fayçal Sawadogo, and Jean-François Wen pointed that cross-country surveys documented systematic declines in mobile money usage following tax adoption across African countries.

Evidence indicated that reductions in mobile money use are accompanied by a shift back towards cash, reinforcing the view that the tax undermines both financial inclusion and formality, they said.

Importantly, where banking services were more penetrated, in urban areas, for instance, the decline in mobile money usage was stronger due to the presence of alternatives, and therefore the burden fell disproportionately on the unbanked and rural population where the banking penetration was lesser and hence fewer alternatives to mobile money.

“Mobile money taxation (on transaction value) is a poor policy instrument: inefficient and regressive. It also encourages a shift towards cash, compromising formality efforts by eroding transaction information that could otherwise be used to enforce other taxes and measure